

ECON 101—INTRODUCTION TO MICROECONOMICS

Spring 2023

Department of Economics
Nazarbayev University

Instructor: Alejandro Melo Ponce, alejandro.melo@nu.edu.kz

Time and classroom: Tu-Th 15:00–16:15, Green Hall

Office hours: By appointment (Tuesdays and Thursdays), book at <https://alejandromelo.youcanbook.me> during available slots, please sign at least one day in advance.

Tutorial Sessions: There will be tutorial sessions held approximately every week, except possibly the first one. The tutorials will be led by one my graduate/undergraduate teaching assistants. You must be enrolled in one of the following.

1. Friday, 9:00–9:50
2. Friday, 10:00–10:50
3. Friday, 12:00–12:50
4. Friday, 13:00–13:50

Course Description The objective of the course is to introduce you to a set of analytical tools, i.e. *the core principles of microeconomics*, needed to understand the functioning of market economies and also to apply those principles to everyday life and understand economic and social phenomena. At the end of the course, the student is expected to apply these tools in the analysis of daily economic problems and to be able to discuss critically economic policy issues. We will study consumer and firms behavior, how different types of markets work, welfare implications of different market structures, international trade, market failures, and public policies.

Course Website All course material, assignments and links to outside platforms (see below) will be posted on the Moodle platform, so it is important that you check regularly.

Course attendance Attendance is compulsory. Students who are recorded as absent in 14 or more class meetings will receive an automatic F grade. This includes excused absences. For example, 4 excused absences and 10 unexcused absences count as 14 absences and lead to letter grade F. You will be recorded as absent if you are late by more than 10 minutes or leave early, use your phone, chat with your friends, do work for other classes, or engage in any kind of disruptive behavior. It is your responsibility to keep track of your attendance record.

Textbook The required textbook is **Microeconomics**, by Jeffrey M. Perloff, Pearson, 2018, 8th ed. You will be provided, through Moodle, with an electronic version of the book. You will also be provided with access codes to Pearson's MyLab Economics platform, which we will use for some assignments. You should also be able to find printed versions of this edition and earlier ones in the library. You will be responsible from all the material I cover or assign in the recorded lectures. Therefore, studying the textbook is very important but *not* a perfect substitute for the material I cover in the lectures.

Grading Policy Grading will be based upon weekly assignments, quizzes, two midterm exams and an optional final two midterm exams, a final exam, and Moodle quizzes/assignments, according to the following weights:

- Small quizzes (5%)
- Problem sets (10%)
- Midterm I (25%)
- Midterm II (25%)
- Final Exam (35%)

Small quizzes will be assigned usually after every lecture. They will consist of a short list of multiple choice questions, which are meant to evaluate how well you understood the basic concepts corresponding to the lecture. You will be able to submit them at most two times and the highest grade between your two submissions will be the only one that counts. After each major topic, you will have a problem set. The purpose of each problem set is to help you learn the material at a greater depth. However, I consider it important that you also learn from your mistakes and learn where you have gaps in your knowledge. Thus, you will be able to submit the problem set a maximum of two times. You will have a few days to submit both quizzes and problem sets after I post them. Assignments will be completed either through Moodle or through the MyLab Economics platform.

You will have two midterms, the first one around the middle of February and the second one after spring break. Each midterm covers roughly one third of the course material and they are not cumulative. The exams will be in person and I will announce the exact date and time during the course of the class.

Finally, you will have a final exam, during finals week as scheduled by the Registrar's Office. The final exam is cumulative and will include all the topics in the course.

I will compute your final numeric grade by computing the weighted average of the aforementioned components according to the weights given above. The numeric grade will then be curved to obtain the final letter grade.

Students are expected to take all exams at the designated time. Make-up exams and assignments will **not** be given. If you miss an exam or assignment due to serious illness, or injury of yourself or a close family member, its weight will be shifted to the remaining exams (assignments) equally.

Make-up Policy You need to have a valid and documented reason (per university policy) for missing an exam. Do your best not to miss an exam. If you have a valid reason for missing a midterm exam, its weight will be shifted to remaining exams.

Academic Misconduct Academic and personal misconduct by any student in this course will be dealt with according to the requirements and procedures in the Student Code of Conduct for Nazarbayev University. Plagiarism and cheating will not be tolerated. Students should be familiar with the university's official statement on plagiarism: Plagiarism is intentionally or carelessly presenting the work of another as one's own. It includes submitting an assignment purporting to be the student's original work which has wholly or in part been created by another person. It also includes the presentation of the work, ideas, representations, or words of another person without customary and proper acknowledgment of sources. Plagiarism occurs when a person:

1. Directly copies one or more sentences of another person's written work without proper citation. If another writer's words are used, you must place quotation marks around the quoted material and include a footnote or other indication of the source of the quotation. This includes cut and paste from the internet or other electronic sources;
2. Changes words but copies the sentence structure of a source without giving credit to the original source, or closely paraphrases one or more paragraphs without acknowledgment of the source of the ideas, or uses graphs, figures, drawings, charts or other visual/audio materials without acknowledging the source or the permission of the author;

3. Submits false or altered information in any academic exercise. This may include making up data for an experiment, altering data, citing nonexistent articles, contriving sources, etc.;
4. Turns in all or part of assignment done by another student and claims it as their own;
5. Uses a paper writing service, has another student write a paper, or uses a foreign language translation and submits it as their own original work.

These are serious offenses resulting in an F grade and disciplinary action.

Tentative Course Outline

1. Introduction: Basic Concepts and Principles.
2. Specialization and Gains from Trade.
3. Demand and Supply.
4. Elasticity of Demand and Supply.
5. Consumer Behavior and Demand.
6. Firm Behavior and Supply in Perfectly Competitive Markets,
7. Long-Run Equilibrium in Perfectly Competitive Markets.
8. Efficiency and Intervention and Markets.
9. Imperfect Competition.
10. Externalities.
11. Public Goods.
12. Game Theory.
13. Economics of Information.

Disclaimer Subsequent changes can be made to any part of this syllabus when necessary. Any changes will be announced in class and on Moodle.